
Heavy Machinery Tax Play — Comprehensive Meeting Summary

Presenters & Background

Braiden (host/organizer):

- Has run the heavy machinery deal for multiple years through his investment community (Growth Circle), bringing it back annually as a cornerstone tax strategy for his high-income investor group
- Brought in **Kason Jennings** and **Trevor** this year to replace Michael from prior years — the primary driver being the scale of the group, which had outgrown the previous team's organizational capacity
- Previous years ran entirely via email with no tracking system — caused significant frustration, missed communications, and operational hiccups for participants across the board
- Kason and Trevor's team has proper systems, tracking apps, lender connections, and infrastructure to handle the group's volume in a far more professional and scalable way
- Fees are meaningfully lower this year compared to last year as a direct result of the transition to Kason's team — a tangible financial benefit to participants beyond just the tax strategy itself
- Nearly 500 people attended this call — a testament to the demand and interest level within the Growth Circle community
- Braiden emphasized that this is not a new strategy to the group — many attendees have done it before, which allows for a more advanced, nuanced conversation rather than starting from scratch

Kason Jennings (lead presenter):

- Entrepreneur by identity, not an accountant — but has owned and operated a tax and accounting firm for approximately 10 years, giving him both the entrepreneurial perspective and deep operational knowledge of the tax industry
- Identified a fundamental and pervasive gap in the accounting industry early in his career: clients come in desperately wanting tax savings, but the vast majority of

accountants are only structured and incentivized to deliver bookkeeping and compliance work

- The misalignment is structural — accountants bill time for tax preparation and bookkeeping, so there's no financial incentive for them to proactively strategize around tax savings for their clients
- Restructured his entire firm model so that **tax savings is the product** — bookkeeping and tax returns are repositioned as tools that support the strategy, not the end goal themselves
- Grew firm from a small mom-and-pop shop to 3,500 active clients nationwide, all high-income earners and entrepreneurs, before exiting the firm last year
- Has spent the last 5 years specifically hunting, vetting, and stress-testing advanced tax strategies in the marketplace — a marketplace he describes as deeply flawed and full of strategies that won't survive IRS scrutiny
- Vetting philosophy: **"If Trevor can poke a hole, the IRS can poke a hole"** — if his conservative CPA partner can find a flaw in a strategy, it never gets offered to clients, full stop. Sometimes Trevor comes back in two hours, sometimes two weeks, but if there's a hole, the strategy is dead
- Last year mitigated **\$580M in taxes** across client base; this year on track for **\$2B** — a nearly 3.5x increase year-over-year, reflecting both the growth of the firm and the increasing demand for legitimate advanced tax strategies
- Deeply passionate about the mission because he views taxes as the single greatest threat to household wealth accumulation for high-income earners

Trevor (Tax Director / Partner):

- Has been Kason's tax director for the full ~10 years of the firm's existence — not a recent hire but a foundational partner in building the business
 - Now a full equity partner following Kason's exit from the original firm
 - Conservative CPA by nature and training — serves as the primary vetting and stress-testing mechanism for every strategy Kason brings to the table
 - His conservative disposition is a feature, not a bug — it's precisely because he's hard to convince that the strategies that pass his review are genuinely defensible
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Opinion Letters & Legal Vetting

Braiden explicitly called out the importance of tax attorney sign-off as a core differentiator from the broader marketplace of advanced tax strategies:

“There is so much bad tax deals out there that I just can’t get tax attorneys to sign off on. Kason is the same approach — we get tax attorney letters on every single thing, as does he, and the way they approach it is just clean and it’s good.”

- Tax attorney opinion letters are obtained on **every single strategy** they offer — this is non-negotiable and not selectively applied
- This is positioned as a fundamental differentiator from the vast majority of advanced tax strategy providers in the marketplace, many of whom operate without formal legal sign-off
- The combination of conservative CPA vetting (Trevor’s role) **plus** independent tax attorney opinion letters creates a two-layer quality control mechanism that significantly reduces audit risk
- Braiden noted that he personally has encountered hundreds of tax deals over the years that he simply cannot get tax attorneys to sign off on — making the ones that do pass that bar extremely rare and valuable
- The “clean” approach referenced is not just about legality but about the overall structure being defensible, well-documented, and unlikely to attract IRS scrutiny
- This vetting standard is one of the primary reasons Braiden has continued to bring this specific deal to his community year after year

What Is Heavy Equipment Leasing?

- You **purchase real, physical heavy equipment** — bulldozers, tractors, aerial lifts, road construction machinery, and other special-class equipment that qualifies for bonus depreciation
- That equipment is placed into a **rental/leasing business** that you own and operate through a single-member LLC, making you a legitimate business owner with real assets and real income
- A professional **management/operating company** handles all day-to-day logistics: marketing the equipment to construction companies, placing it on job sites,

managing maintenance schedules, handling insurance claims, paying for fuel and repairs — everything operational

- You collect **monthly rental income** as the business owner, with none of the operational headaches typically associated with owning physical assets
- Real-world example used in the presentation: the heavy equipment you see on I-15 in Utah doing road construction is often **not owned by the construction company** using it — it's owned by individual investors just like the attendees on this call, who purchased it and leased it back to the contractors
- This creates a genuine, economically rational win-win: contractors get access to expensive equipment without tying up capital in depreciating assets; investors get rental income, tax benefits, and legitimate business ownership
- The strategy is not a paper transaction or a synthetic arrangement — it involves real equipment, real rental contracts, real income, and real business decisions made by the owner on a weekly basis
- The equipment is deployed nationwide across construction projects, road work, infrastructure development, and other heavy industry applications — providing geographic diversification and consistent demand

The Tax Mechanics

Why This Works

- The U.S. tax code is thousands of pages long — and the **majority of those pages are a roadmap for saving money**, not instructions for paying it. Most taxpayers never access this roadmap
- The government deliberately uses the tax code to **stimulate specific areas of the economy** it wants to grow — infrastructure, equipment investment, business ownership, and capital deployment are all areas the government actively incentivizes through favorable tax treatment
- Most high-income earners are playing the “pay taxes” game by default — simply earning income and writing checks to the IRS. The goal of this strategy is to actively play the “save taxes” game by leveraging the incentives the government has already built into the code

- Taxes are identified as the **#1 wealth threat** for high-income earners — not market volatility, not inflation, not bad investments, but taxes. They are also the single largest household expense for most people on this call
- Uncle Sam provides **zero return** on tax payments — money paid in taxes is gone forever with no compounding, no yield, no upside. Investing those same dollars in yield-generating assets creates compounding returns over time, fundamentally changing the long-term wealth trajectory

Bonus Depreciation

- Heavy equipment qualifies for both **Section 179** and **100% bonus depreciation** under current tax law
- The “One Big Beautiful Bill” recently restored **100% bonus depreciation** after it had been phasing down in recent years (it had dropped to 60% and was continuing to decline before the legislation reversed course)
- This means the **entire purchase price is deductible in Year 1** as a business operating loss — not spread over the useful life of the equipment, not amortized over years, but taken all at once in the first year
- The loss flows through the single-member LLC directly to your personal **Schedule C** on your 1040, making it a straightforward filing process that any competent CPA can handle with the reports provided
- This offsets active income — W2 wages, self-employment income, business profits — which is where most high-income earners have their largest tax exposure
- The leverage structure amplifies the deduction: you put down 10% but deduct 100% of the purchase price, creating a deduction that is 10x your actual cash outlay

Excess Business Loss (EBL) Limitations

- The EBL limitation applies **only** to taxpayers with non-business income sources — specifically W2 wages, retirement distributions, and passive income from investments
- **2026 limits:** \$512,000 for married filing jointly / \$256,000 for single filers
- Notably, 2025 was an unusual year where the limits actually **decreased** (MFJ: \$502k, single: \$256k) — a rare inflation-related anomaly that went the wrong direction for taxpayers

- Any deduction exceeding the EBL cap **carries forward as a Net Operating Loss (NOL)** to future tax years — it is not lost or wasted, just deferred
- NOL carryforwards have their own rules and limitations that should be discussed with a tax advisor, but the key point is that excess deductions don't disappear
- **Self-employed individuals face NO EBL cap whatsoever** — they can offset 100% of their self-employment income with no ceiling, making this strategy particularly powerful for business owners
- Multi-year tax planning strategies are available for large purchases that exceed annual EBL limits — the excess simply rolls forward and continues to provide benefit in subsequent years

State Tax Conformity

- Approximately **16 states do not conform** to federal bonus depreciation rules, creating a state-level planning consideration that must be addressed separately from federal tax planning
 - Notable non-conforming states include **California, New York, and Massachusetts** — three states with some of the highest state income tax rates in the country, compounding the planning complexity
 - The critical point: the **federal deduction is always preserved** regardless of what any state does — non-conforming states cannot touch the federal tax benefit
 - Non-conforming states typically **spread the deduction over 5 years** rather than eliminating it entirely — so the benefit is still there, just delivered more slowly at the state level
 - California residents in the top state tax bracket (13%+) may elect **MACRS** (Modified Accelerated Cost Recovery System) instead of bonus depreciation, spreading depreciation over time in a way that better matches their state tax situation
 - Residents of non-conforming states should work with their advisors to plan separately for state tax exposure and should not assume that their full federal tax savings will be replicated at the state level
 - The “One Big Beautiful Bill” has also created a “decoupling” dynamic where some states are still deciding how to align with the new federal regulations — the landscape is actively evolving and state-specific guidance is essential
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Financial Structure — Full Breakdown

The Leverage Model

- You put down **10% of the equipment purchase price** in cash at closing — this is your skin in the game and your actual out-of-pocket capital commitment
- A lender finances the remaining **90%** via a corporate loan secured by the equipment and personally guaranteed by you
- The 90% leveraged note is what creates the **larger deduction** — because you’re personally guaranteeing the full loan amount, the IRS considers you “at risk” for the entire purchase price, allowing you to deduct 100% of it rather than just your 10% cash contribution
- The note is **personally guaranteed** — this is not optional, it is a legal requirement to establish the “at-risk” basis that the IRS requires for the full deduction to be valid
- Despite the personal guarantee, it is structured as a **corporate loan through the LLC** and does **not appear on personal credit reports** — an important distinction for those who may be applying for mortgages or other personal financing simultaneously
- This is structurally identical to a business owner buying a commercial truck: you finance it, use it 100% for business purposes, and deduct 100% of it — just replace “truck” with “heavy equipment” and scale up the numbers
- The leverage ratio creates a compelling math equation: \$130,000 out of pocket on a \$1M purchase generates a \$1M deduction — a 7.7x leverage ratio on your actual cash investment from a tax deduction standpoint

Cost Breakdown — \$1M Example

Item	Amount
Equipment purchase price	\$1,000,000
Down payment (10%)	\$100,000
Platform fee (3%)	\$30,000
Total cash at closing	\$130,000
Bank financing (90%)	\$900,000

Cost Breakdown — \$400k Minimum Example

Item	Amount
Equipment purchase price	\$400,000
Down payment (10%)	\$40,000
Platform fee (3%)	\$12,000
Total cash at closing	\$52,000

- **\$52,000 is the absolute minimum buy-in** for 2026 — this is the floor, not a suggested starting point
- The platform fee is a **one-time fee paid at closing only** — it is not a recurring monthly charge, a point that generated significant confusion in the Q&A and was clarified multiple times
- The platform fee funds the pooled equipment management infrastructure — the negotiation of contracts, placement of equipment, management of the operating company's nationwide logistics network

Financing Terms

- Current interest rate: approximately **6.75%** — subject to variation based on individual credit profile and prevailing market conditions at time of application
- **10-year amortization schedule** with a **72-month (6-year) term** — meaning you're making payments as if it's a 10-year loan, but the loan comes due (via the equipment buyback) at the 6-year mark
- Monthly payment on \$900k loan: **\$10,334** — a fixed, predictable obligation that is covered almost entirely by the rental income
- The loan does not show on personal credit report because it is a corporate loan through the LLC entity
- Lenders run credit and require a standard commercial loan package: 2 years tax returns, 2 months bank statements, driver's license, K-1s — the same documentation you'd provide for any business loan
- Approval process currently takes **2–3 weeks** (historically 4–6 weeks at year-end; currently moving fast due to early-year timing)

- Pre-qualified lenders include **Liberty**, which is expecting to originate between **\$600–800M** in these specific loans this year alone — they know the strategy inside and out and are the most efficient path for most participants
- Participants can use their own lender or personal banker if they have an existing relationship — the group doesn't mandate a specific lender, just recommends the pre-vetted options for efficiency

Monthly Cash Flow — \$1M Example

Item	Monthly	Annual	6-Year Total
Gross rental income	\$11,050	\$132,600	\$795,600
Loan payment	(\$10,334)	(\$124,008)	(\$744,048)
Net cash flow	\$716	\$8,592	\$51,552

- The \$11,050 is **net of all expenses** — insurance, maintenance, fuel, and repairs are all paid by the operating company out of the gross rental revenue before distributing to investors. What hits your bank account is already net
- Income is strictly proportional to equipment purchase amount: a \$400k purchase = 40% of \$11,050 = approximately \$4,420/month gross rental income
- The monthly cash flow is modest relative to the tax benefit — the real economic value of this deal is the upfront tax savings, not the monthly spread between rental income and loan payment
- Auto-payment setup recommended: rental income deposits via ACH, loan payment auto-drafts a few days later — the spread between the two is your net cash flow, deposited automatically with no manual management required

The Pooled Equipment Structure

- Your equipment goes into a **\$2B pool** of equipment managed by the operating company — a massive, diversified pool that provides significant downside protection compared to owning a single piece of equipment in isolation
- The 3% platform fee funds the management of this pooled approach — the operating company uses it to negotiate all rental contracts, place equipment with

construction companies nationwide, manage logistics, and handle all operational responsibilities

- The operating company negotiates all contracts, places equipment with construction companies across the country, handles all day-to-day logistics, and manages the entire rental ecosystem on behalf of the pool
- **Key downside protection:** if your specific piece of equipment breaks down, requires extended maintenance, or sits idle in a yard for months, you **still receive your full proportional rental income** because your entitlement is to your share of the pool's total output — not just the performance of your individual unit. This is a fundamental structural advantage over direct equipment ownership
- Income accrues **from day one** of placement into the pool — there is no ramp-up period, no waiting for your specific equipment to be rented, no uncertainty about when income begins
- Equipment is tracked **24/7 nationwide** via GPS technology integrated into every unit in the pool
- Real-time dashboard provides complete visibility: current location on a map, fuel levels, maintenance schedules, route history from that day, daily activity logs, total hours worked, utilization metrics, and upcoming service needs
- The dashboard is your window into the business you own — it provides the operational visibility that supports both your active participation documentation and your general peace of mind as a business owner

The Operating Company

- **11 years in business** — this is not a startup or a new concept. The operating company has been running this pooled equipment leasing model for over a decade
- **Perfect payment history** — has never missed a single monthly payment to any investor across its entire 11-year operating history. Not one missed payment across what is now billions of dollars in equipment under management
- **Recently went public** — financial records are now fully transparent, auditable, and publicly available. Any investor can review their financials, balance sheet, and risk profile before committing

- Going public is interpreted by Kason as a strategic capital raise — the company is accumulating capital to eventually buy equipment in-house and phase out individual investor ownership over the next 5–10 years as six-year horizons mature
- Public status significantly **reduces counterparty risk** compared to prior years when it was a private company whose financials investors simply had to take on faith. The underwrite is now objectively easier because the financial data is publicly available
- Kason noted that when he first started doing this deal, he had to take the company’s word for their ability to make payments. Now, as a publicly traded company, that risk is quantifiable and dramatically reduced
- Equipment Share and Easy Zone referenced as names associated with the operating company (noted by Jocelyn in the transcript)

Six-Year Exit Strategy

Buyback Mechanics

- At **Month 72**, the operating company has **first right of refusal** to purchase the equipment back from you at a pre-specified price
- Buyback price: **56% of the original purchase price** — contractually specified in the agreement at the time of purchase, providing clarity on the expected exit value from day one
- On a \$1M equipment purchase: buyback proceeds = **\$560,000**
- Remaining loan balance at Month 72 (on a 10-year amortization schedule, 72 months in): approximately **\$433,000** — the loan has been partially paid down by 6 years of payments, but not fully retired since it’s a 10-year AM
- Net cash after loan payoff from buyback proceeds: **~\$127,000**
- Combined with 6-year cumulative cash flow (\$51,552): **total economic benefit approximately \$179,000** before accounting for depreciation recapture tax implications
- The operating company is described as “highly incentivized” to exercise the buyback — they need the equipment for their ongoing rental operations and have a strong business reason to maintain the pool

Important Caveats on “Guarantee”

- The word “**guaranteed**” **cannot legally be used** in a legitimate tax deal — it is an immediate IRS red flag that signals the removal of economic risk, which in turn eliminates the tax benefits
- The IRS requires that investors be genuinely “at risk” — if the outcome is guaranteed, there is no real risk, and therefore no legitimate basis for the tax deduction
- The contract language specifies **first right of refusal at 56%** — technically the company could pass on the buyback, leaving you with equipment to sell on the open market
- However, the practical reality is: 11-year track record, never missed a buyback, now a publicly traded company with strong financial incentives to maintain the pool and continue acquiring equipment
- Worst case scenario explicitly stated: the operating company goes bankrupt, you end up owning a piece of heavy equipment that you need to sell on the secondary market. Kason’s assessment: highly unlikely given the company’s trajectory, but it is the real downside risk

Depreciation Recapture

- Because you took **100% of the purchase price as a deduction in Year 1**, your equipment’s tax basis is reduced to **zero** — you’ve already received the full tax benefit of the asset’s value
- When the equipment sells at Month 72, the **entire sale price (\$560k on a \$1M purchase) becomes taxable as ordinary income** in the year of the sale — this is depreciation recapture, and it is unavoidable
- This is not a flaw in the strategy — it is a known, planned-for event. You deducted \$1M in Year 1 and will pay tax on \$560k in Year 6. The math still works strongly in your favor, especially when you factor in the time value of money and investment returns on the Year 1 tax savings
- Tax rate in Year 6 is an unknown variable today — your income level, tax bracket, and available strategies in six years will determine the actual recapture tax bill
- **Strategic planning options for recapture:**
 1. Purchase additional equipment in the exit year to generate new deductions that offset the recapture income — effectively rolling the strategy forward

2. Invest the Year 1 tax savings over 6 years in yield-generating assets; use the compounded returns to cover the recapture tax bill when it comes due
 3. Layer in other tax strategies in the exit year — NOL carryforwards, Roth conversions, charitable giving strategies, or other advanced plays
 4. Simply plan for the recapture as a known future liability and set aside reserves accordingly
- Even in the worst-case scenario where you do nothing and simply pay the recapture tax, you still come out ahead: you deducted \$1M in Year 1 and only pay tax on \$560k in Year 6 — a net positive even before considering the time value of money
 - Jocelyn specifically noted interest in **Roth conversions and NOL carryforwards** as Year 6 planning tools — a sophisticated multi-year approach worth discussing with a tax advisor
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Material Participation — The 100-Hour Rule

Why It Matters

- To deduct equipment losses against **active income** (W2 wages, business income, self-employment income), the IRS requires you to demonstrate **active participation** in the business
- Without meeting the 100-hour threshold, losses are classified as **passive** and can only offset passive income — which most high-income earners have very little of, making the deduction largely useless
- This is the most time-sensitive element of the entire strategy — the sooner you get started in the tax year, the more time you have to accumulate hours without scrambling at year-end
- The 100-hour requirement is not arbitrary — it reflects the IRS's standard for distinguishing genuine business owners from passive investors who are simply purchasing tax benefits

The Weekly Opt-In/Opt-Out Mechanism

- Every week, you receive an automated email asking whether you want to **rent your equipment that week or not** — a simple yes/no decision that must be actively made

- You must actively log into the platform and record your decision — passive non-response does not count
- This is a **one-directional lease structure**: the operating company is contractually obligated to rent from you if you say yes, but you retain the right to say no at any time
- This structure is the legal and operational foundation for active participation — you are making real, consequential business decisions on a weekly basis about whether to deploy your capital asset
- If you opt out: your equipment is pulled from the pool for that week, you receive no rental income for that week, but your decision is logged and documented
- The weekly decision-making cadence is the **primary qualifying activity** for the 100-hour threshold and the cornerstone of the active participation argument
- The one-directional lease is specifically called out as a key structural feature — if it were a simple six-year lease with no ongoing decisions, you could never characterize the losses as active. The weekly opt-in requirement transforms it from a passive investment into an active business

What Counts Toward 100 Hours

✓ Weekly opt-in/opt-out decisions and associated research into rental market conditions
 ✓ Travel to inspect equipment — **full trip duration counts** (“wheels up to wheels down” per the tax code — if you fly to Orlando to see your equipment and the trip takes three days, all 72 hours count, not just the two hours you spent at the equipment site) ✓ Specific research conducted after LLC formation and equipment purchase — researching your specific assets, rental rates, market conditions ✓ Financing applications and lender communications related to your equipment business ✓ LLC management and administrative tasks — record keeping, accounting, business planning ✓ Equipment monitoring via the dashboard — reviewing utilization data, fuel levels, maintenance alerts
 ✓ Attending equipment-specific seminars and continuing education after your equipment is in service ✓ Travel costs associated with equipment visits are also deductible as business expenses on your Schedule C

What Does NOT Count

✗ Generic research